🤖 M365 AI, Decoded — What to Use, What It Costs

Match the right tool to the right task — and avoid unexpected charges.

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Public list prices (USD)
Subject to change

⚠️ **Verify all features and figures before relying on this.** This guide was compiled from publicly available information as at June 2026. Microsoft 365 licensing, pricing, AI model defaults, and feature availability change constantly — this is provided for general educational purposes only, is not official Microsoft guidance, and is not a substitute for your Microsoft admin, Microsoft representative, or the official Microsoft 365 / Copilot documentation. Always confirm current details before making licensing or purchasing decisions.

COST TIER: ✅ Included — M365 E5 · 🔵 M365 Copilot Licence (premium add-on) · ⚡ Usage-based / Metered · 🔴 Separate Subscription Required · ⚠️ Constrained — limits apply even when licensed

✅ ALREADY PAID
$0 extra
Basic Copilot in Office apps · web-only Chat · web-only Agent Builder

🔵 PER-USER UPLIFT
US$30 / user / mo
Full Copilot everywhere · M365-grounded Chat · SharePoint authoring · Analyst & Researcher

⚡ PAY-AS-YOU-GO
$0.01 / credit
Cowork tasks · Copilot Studio agents · Computer Use Agents

🔴 SEPARATE SUBS
GitHub Copilot Enterprise · Fabric capacity · Microsoft Scout (preview)

⚠️ WATCH LIMITS
25 queries/mo
Analyst + Researcher combined · session/rate caps even when licensed

1 💡 What should I use for…? — Pick the right tool for the job

Start here. Each tile shows the **free option first** (with E5) and where you might upgrade.

💬 QUICK QUESTIONS, BRAINSTORMING & WEB RESEARCH

Ask, draft, explain, summarise — outside your work data

✅ **Copilot Chat — Web** (included with E5)
Great for: general questions, writing help, explaining concepts, brainstorming, web lookups.
Tip: paste M365 content into the chat to give it context.
⬆️ Upgrade to 🔵 Premium if you want Copilot to search your work data automatically.

🏢 WORKING IN WORD, EXCEL & POWERPOINT

Drafting docs, light spreadsheet help, simple slides

✅ **Copilot in Office — Basic** (included with E5)
Copilot Chat sidebar in Word, Excel, PowerPoint, OneNote + Edit with Copilot — grounded on web data & files you attach. Model picker includes GPT-5.x and Claude (admin opt-in).
⬆️ Upgrade to 🔵 **Office Premium** for M365-grounded responses and priority access.

📧 EMAIL, MEETINGS & FINDING THINGS IN M365

Summarise threads, draft replies, recap meetings, find files

🔵 **Copilot in Outlook / Teams** + **M365-grounded Chat**
Searches across email, Teams, SharePoint, OneDrive, Calendar automatically.

📊 DATA ANALYSIS & REPORTING

Spreadsheets, pivot tables, data exploration, charts

✅ **Copilot in Excel — Basic** (E5) for prompts grounded on the open file + web (AutoSave + OneDrive required).
🔵 **Copilot in Excel — Premium** for M365-grounded analysis.
🔵 **Analyst Agent ⚠️** for file-based ad-hoc analysis (25 queries/mo combined with Researcher).
🔴 **Fabric Copilot** for large-scale BI (uses CUs).

🤖 BUILD A CUSTOM AI AGENT

Automate a process or create an AI assistant for your team

✅ Start with **Agent Builder — Web** (included with E5) for FAQ bots grounded in web content.
⬆️ 🔵 **Agent Builder — Full** for M365 data grounding (25K credits/licence/mo, pooled).
⚡ **Copilot Studio** for high volume, external systems, or per-agent model choice.

🔬 RESEARCH & INVESTIGATION

Multi-source research, due diligence, competitive insight

✅ **Copilot Chat — Basic** (E5) for quick web-grounded research and lookups.
🔵 **Copilot Chat — Premium** for web + M365-grounded research (search your own files alongside the web).
🔵 **Researcher Agent ⚠️** for deep multi-step research (25 queries/mo combined with Analyst).
🔵+⚡ **Copilot Cowork** for long-running, multi-source research that returns a deliverable-quality output.

2 📚 Catalogue — Every AI tool, grouped by what it costs

✅ M365 E5
Copilot (Basic)
$0 extra

Copilot Chat — Web Only
✅ E5
Basic AI assistant

Cost: Included with E5 — no extra charge.

- Web-grounded answers — no automatic M365 data connection
- 30 messages per conversation
- Users can manually paste or reference M365 content in prompts
- Suitable for general questions, web lookups & light productivity

⬆️ Upgrade to Copilot Licence for automatic M365 grounding — email, Teams, SharePoint etc.

✅ E5 Included

Copilot in Office Apps — Basic
✅ E5
Word · Excel · PowerPoint · OneNote · Outlook · Teams

Cost: Included with E5 — no extra charge.

- Copilot Chat sidebar available in **Word, Excel, PowerPoint, OneNote** (M365 Copilot Basic label)
- Includes **Edit with Copilot** (Agent Mode) — multi-step edits using web data + referenced/uploaded files
- Model selector includes GPT-5.4 / GPT-5.5 and Claude Sonnet/Opus (admin opt-in)
- **No automatic M365-data grounding** — won't see your emails, SharePoint, or other files unless you attach them
- Desktop Excel requires AutoSave on and file saved to OneDrive/SharePoint; works most reliably in the web apps
- No priority access — may be rate-limited during peak demand

⬆️ Upgrade to Copilot Licence for M365-grounded responses and priority access.

✅ E5 Included — Basic

Agent Builder — Web-grounded Only
✅ E5
Build lightweight Q&A agents · Web knowledge only

Cost: Included with E5 — no extra charge.

- Build simple agents grounded on web knowledge — no code required
- **Cannot access M365 data** (SharePoint, email, Teams) without Copilot Licence
- Useful for web-sourced FAQ bots
- Agents can be shared with small teams within M365 Copilot Chat

⬆️ Upgrade to Copilot Licence to unlock M365 data grounding and the full Copilot Credits allowance.

✅ E5 Included — Web only

🔵 M365 Copilot Premium
Premium AI across Microsoft 365
US$30 / user / month

Copilot Chat — M365 Grounded
🔵 PREMIUM
Full AI assistant with your work data

Cost: Included with Copilot Premium licence (US$30/user/mo).

- Searches across email, Teams, SharePoint, OneDrive, Calendar
- Summarise threads, find files, draft responses
- Copilot Pages for collaborative AI notes
- No practical daily message limit for standard queries

🔵 Copilot Licence

Copilot in Office Apps - Premium
🔵 PREMIUM
Word · Excel · PowerPoint · Outlook · Teams · OneNote · Loop · Whiteboard

Cost: Included with Copilot Premium licence.

- Draft & rewrite documents in Word
- Summarise emails & compose replies in Outlook
- Meeting transcription, recap & action items in Teams
- Generate formulas, charts & insights in Excel
- Create slides from prompts in PowerPoint

🔵 Copilot Licence

Copilot in SharePoint
🔵 PREMIUM
Intranet authoring · Sites · Pages · Lists · Reports — natural language

Cost: Included with Copilot Premium licence — no extra cost (during preview and at GA).

- Create SharePoint sites, pages, news posts, lists & libraries from natural language prompts
- Edit existing page layouts, text & web parts via AI chat panel — grounded in your M365 content
- Attach M365 files as grounding context for richer, more accurate output
- Generate interactive reports and Office files without leaving SharePoint
- Ask questions about SharePoint content directly in context
- Enabled by default for Copilot-licensed users; admins can opt out per-tenant or per-site via PowerShell

✅ GA (June 2026)
Create & edit pages/news posts with AI authoring panel

👁 Preview (mid-June 2026)
Broader experience: sites, lists, libraries, reports, Q&A, workflows

💡 **Authoritative Sites (admin):** Mark specific SharePoint sites as trusted sources — Copilot will prioritise their content in Chat and Search responses across all M365 Copilot experiences. Small config change, big payoff for intranet quality.

🔵 Copilot Licence — no extra cost · 👁 Broader features in preview

Analyst Agent
⚠️ CONSTRAINED
Data analysis · Python interpreter · File access

Cost: Included with Copilot Premium — but **session-capped** (see Watch Outs §3).

- Analyses data files (Excel, CSV, OneDrive)
- Runs Python code to generate charts & calculations
- Good for structured data exploration

⚠️ 25 Analyst and Researcher queries combined per calendar month.

🔵 Copilot Licence · ⚠️ Rate Limited

Researcher Agent
⚠️ CONSTRAINED
Deep web research · Multi-source synthesis

Cost: Included with Copilot Premium — but **session-capped** (see Watch Outs §3).

- Performs multi-step, deep web research
- Synthesises findings from multiple sources
- Best for occasional, high-value research; not continuous use

⚠️ 25 Analyst and Researcher queries combined per calendar month.

🔵 Copilot Licence · ⚠️ Session Limited

Agent Builder — Full (M365-grounded)
🔵 PREMIUM
Build custom agents · M365 data access · Teams & Copilot Chat embedded

Cost: Included with Copilot Premium — 25K Copilot Credits per licence/mo, pooled.

- Upgrades E5 web-only agents to full **M365 data grounding** (SharePoint, email, Teams)
- No-code/low-code agent creation for individuals or small teams
- **25,000 Copilot Credits per M365 Copilot licence per month** — pooled at the tenant level
- No custom model choice
- Ideal for internal, moderate-volume knowledge-base agents

📊 Credit pool is shared with Copilot Studio. Multiple agents draw from the same pooled allowance.

🔵 Copilot Licence · ⚡ 25K credits / licence / mo (pooled)

⚡ Additional Investment
Usage-metered · Capacity-based · Separate subscriptions · Cowork credits
Costs beyond your licence

Copilot Cowork
🔵+⚡ PREMIUM + METERED
Agentic long-running tasks · End-to-end automation · Multi-tool execution

Cost: Copilot Premium licence + usage-based Copilot Credits. Cowork is off by default — admins must enable it.

Prerequisite: M365 Copilot Premium Licence required. Cowork is an add-on — cannot be purchased standalone.

- You define complex work; Cowork runs it autonomously end-to-end and returns a **completed result**, not just a draft
- Cloud-hosted — tasks keep running even when your laptop is off
- Grounded in Work IQ (your M365 data, apps, and policies)
- **Models at GA: Anthropic Opus 4.8 & Sonnet 4.6** — GPT-5.5 available in Frontier — Cowork 1 (lower-cost fine-tuned model) coming soon
- Partner plugins available now: Miro, monday.com, LSEG, Moodys, Morningstar, S&P Global Energy (more to come)
- Fabric and Dynamics 365 integration GA; browser use via Edge (Frontier)

💳 **Billing tiers**

🟢 Light tasks	🟡 Medium tasks	🔴 Heavy tasks
Few sources, simple reasoning, 1 output	Multiple sources, structured reasoning, 2+ outputs	Broad aggregation, deep reasoning, many outputs
e.g. summarise a report	*e.g. analyse pipeline data*	*e.g. compare 4,000 files*

🔵+⚡ Copilot Licence + metered credits · ⚡ Usage-based · billed in Copilot Credits

Copilot Studio — Professional Agents
🔵+⚡ PREMIUM + METERED
Advanced agent builder · Multi-channel deployment · External integrations

Cost: 25K Copilot Credits/licence/mo pooled · Additional 25K credits pack US$200 · Pay-as-you-go US$0.01/credit.

- Build agents that connect to external systems (SAP, ServiceNow, APIs)
- Deploy to Teams, web, email, or any channel
- Choose your AI model per agent (cost varies — see model scale)
- Generative AI actions & autonomous steps cost more credits
- **25K Copilot Credits per Copilot licence/month — pooled at tenant level** (shared with Agent Builder)
- Additional capacity: US$200 / 25,000 Copilot Credits (pack; "messages" renamed to credits Sept 2025)

💡 High-volume or complex agents rapidly consume credit packs. Always choose the cheapest model that meets your needs and set usage alerts.

🔵+⚡ 25K credits with Copilot · metered beyond cap

Computer Use Agents (Copilot Studio)
🔵+⚡ PREMIUM + METERED
Automate any browser or desktop UI · Legacy app integration · Human-in-the-loop

Cost: Copilot Studio licence + Copilot Credits — 5 credits/step on GA models (premium models cost more).

- Agents see and control a browser or desktop app just like a human user — no API needed
- Automate legacy GUIs (SAP, web forms, internal tools) that have no programmatic interface
- **GA models: OpenAI CUA & Claude Sonnet 4.5 — 5 Copilot Credits per step**
- Experimental (unsupported in production): Sonnet 4.6, Opus 4.6 — premium/experimental models cost significantly more credits per step (see Copilot Studio Credit Guide for current rate)
- Azure Key Vault credential storage · Purview audit logging · human-in-the-loop approval via Outlook
- Requires Copilot Studio licence + Copilot Credits (PayGo or prepaid)

💡 Example cost
4-step form-fill = 20 credits
~$0.16 at prepaid rate
($0.008/credit)

⚠️ Scale warning
50-step legacy flow × 200 runs/day
= ~$96/day on GA models
= materially higher on premium models

🔒 Security gap: the allow-list prevents ACTIONS on non-listed sites but does NOT block navigation. Layer with Intune browser policy for full isolation — Microsoft's own recommendation.

🔵+⚡ Copilot Studio licence + metered credits · ⚡ 5 credits/step (GA) · premium models cost more

Microsoft Fabric Copilot
🔴+⚡ SEPARATE + METERED
Data engineering · Notebooks · Power BI · Real-Time Intelligence

Cost: Requires Fabric capacity (separate SKU) — consumes Fabric Capacity Units (CUs).

- AI assistance embedded inside Fabric workspaces
- Works across Notebooks, Data Factory, Real-Time Intelligence, Lakehouse
- **No separate AI licence — consumes Fabric Capacity Units (CUs)**
- Complex AI tasks consume significantly more CUs than standard workloads
- Fabric capacity must already be provisioned

⚠️ Heavy Fabric Copilot use can exhaust shared capacity and throttle other workloads. Coordinate with the data team before running large AI-assisted jobs.

🔴 Requires Fabric Capacity · ⚡ CU-metered

GitHub Copilot Enterprise
🔴+⚡ SEPARATE + METERED
Agentic coding · Copilot Workspace · Coding Agent · Full codebase awareness

Cost: Separate subscription — Enterprise US$39 / Business US$19 per user/mo. AI Credits billing from 1 Jun 2026.

⚡ **The Claude Code equivalent for platform app development**

- Entirely separate subscription — **not part of M365 at all**
- Enterprise: US$39/user/mo | Business: US$19/user/mo | Pro+: US$39/mo | Max: US$100/mo
- **Copilot Workspace** — assign a GitHub Issue; the agent autonomously plans, edits files across the repo, runs tests, and opens a PR
- **Coding Agent (agent mode)** — in VS Code/JetBrains/CLI: reads your entire codebase, runs terminal commands, makes multi-file changes end-to-end
- **Knowledge Bases** — semantic search across all org repos for codebase-aware answers
- Choice of model per session: GPT-5.x, Claude Sonnet/Opus, Gemini 3.x
- **AI Credits billing from 1 June 2026** — monthly credit equals subscription value (Enterprise US$39, Business US$19); overage US$0.01/credit. Code completions remain unlimited.
- IP indemnity, policy controls, audit logs, SAML/SSO

✅ Autonomous multi-file coding · platform app development · issue-to-PR · codebase Q&A · PR review

⚠️ Each agentic run consumes many AI credits — budget carefully; Business tier lacks Workspace & agent mode

🤖 Copilot Workspace agentic runs are credit-intensive. A single autonomous coding session can burn through a meaningful slice of your monthly AI credits. Reserve agent mode for meaningful tasks; use standard completions (free) for line-by-line work.

🔴 Separate Subscription · ⚡ Agentic runs deplete AI credit pool fast

🔭 PREVIEW — Private / Frontier Experimental · Not GA

Microsoft Scout (Autopilot)
🔭 PREVIEW
Always-on personal agent · Runs continuously without prompting · New agent category

Cost: Pricing not yet published. Requires Frontier enrolment + GitHub Copilot licence.

New agent category — Autopilot: Unlike on-demand Copilot, Scout runs autonomously in the background with its own Entra identity, acting on your behalf without being prompted each time.

- Proactively schedules & coordinates meetings across time zones; generates prep materials
- Identifies upcoming deliverables and automatically blocks focus time on your calendar
- Spots risks — stalled decisions, cold follow-ups — before they become blockers
- Builds context via **Work IQ**, learning how you work and what matters most over time
- Operates across cloud, desktop & web; connects to Teams, Outlook, OneDrive, SharePoint
- Extends to browser, local resources & MCP servers via the desktop app
- Each Scout instance operates under its own governed **Entra identity** with scoped credentials
- Built on **OpenClaw** open-source technology

Access requirements (all required): Frontier programme enrollment · Intune policy configuration · Opt-in attestation · **GitHub Copilot licence**

⚠️ Pricing not yet published — Scout is experimental. Do not plan production budgets around it. Watch Frontier release notes for GA timeline and cost model.

🔭 Private Preview — Frontier only · 🔴 Requires GitHub Copilot licence · ℹ️ Pricing TBC

3 ⚠️ Watch outs — Included with Copilot, but with real limits

📊 Analyst Agent

Uses an embedded Python interpreter to analyse structured data files from OneDrive and SharePoint. Great for one-off analysis, data summaries, and chart generation — but **not a replacement for a full data platform**.

Session compute cap · 25 queries/mo (combined with Researcher) · No persistent environment between sessions · Best for ad-hoc, moderate complexity tasks

✅ Excel summaries · simple charts · quick calculations · pivot exploration

❌ Large-scale ETL · production reporting · enterprise BI · real-time data

🔍 Researcher Agent

Performs multi-step deep research using Bing grounding, synthesising from multiple web sources into a coherent report. Powerful for evidence gathering — but **not designed for continuous or bulk research workflows**.

Bounded query depth per session · 25 queries/mo (combined with Analyst) · Best for high-value, occasional research · Not a real-time data feed

✅ Vendor due diligence · topic briefings · competitive landscape · policy research

❌ Monitoring dozens of topics daily · mass automated research pipelines · real-time news

4 🧠 Which model should I use?

PRACTICAL GUIDANCE

Most people don't need to pick a model — Copilot's default routing handles it. But if you want to override, this guide shows which model suits which task. **Start with the default. Only switch when there's a clear reason.**

⚙️ AUTO DEFAULT
Copilot reads your prompt and **routes it to the right model** — fast for simple asks, deeper for complex ones. **Leave this on unless you have a reason to override.** Covers 80%+ of everyday work.

⚡ QUICK RESPONSE
Forces Copilot to use a **fast, lightweight model** (GPT-5 Instant family). Best for quick lookups, short rewrites, and back-and-forth chat where you want speed over depth. Cheapest tier.

🧠 THINK DEEPER
Forces a **reasoning model** (GPT-5 Reasoning / Claude Opus). Use for complex problems, multi-step analysis, careful writing, or anything where the answer matters. Slower and uses more compute — pick deliberately.

🎯 Task → Recommended model

I WANT TO…	START WITH	UPGRADE IF…	COST
💬 **WRITING & EVERYDAY**			
✏️ Draft an email, polish a paragraph, brainstorm	**Auto** (GPT-5 family)	You want a warmer, more nuanced voice → **Claude Sonnet 4.6**	🟢 Cheap
📄 Summarise a long thread or document	**Quick Response** (GPT-5 Instant)	Dense content, tables, or careful nuance → **Claude Sonnet 4.6**	🟢 Cheap
💡 Think through a complex problem or decision	**Think Deeper** (Reasoning model)	Long, multi-document context → **Claude Opus 4.8**	🟡 Medium
📂 **CREATING & EDITING OFFICE FILES (AGENT MODE)**			
📄 Write or edit a Word document (prose, reports, briefs)	**Claude Sonnet 4.6** (expected default from summer 2026)	Need careful peer-review of the draft → **Sonnet + Opus Advisor** (Cowork)	🟡 Medium
📊 Build or fix an Excel model (formulas, pivots, data shaping)	**Auto** — Claude is now the Excel Agent Mode default (from May 2026)	Claude struggling with a specific Excel-native feature → switch to **GPT-5**	🟡 Medium
🎯 Create a PowerPoint deck from a brief or doc	**Auto** — Claude is now the PowerPoint Agent Mode default	Want a richer narrative arc & structure → **Claude Opus 4.8**	🟡 Medium
🛠️ Create a file from scratch (M365 Copilot app → Tools → Word/Excel/PowerPoint Agent)	**Claude** (only option — agent is Claude-only; admin opt-in required)	If unavailable, ask your admin to enable Anthropic models	🟡 Medium
🧱 **CREATING STRUCTURED ARTEFACTS (HTML, JSON, ETC.)**			
🌐 Build HTML / web pages / structured visual layouts	**Claude Opus 4.8** ★ (best at HTML & CSS structure)	Small tweaks only → **Claude Sonnet 4.6** (cheaper, still strong)	🔴 Higher
🧩 Generate JSON, YAML, SharePoint formatting, schema	**Claude Sonnet 4.6** (precise structured output)	Tricky spec compliance or large schemas → **Claude Opus 4.8**	🟡 Medium
🔬 **RESEARCH & ANALYSIS**			
🔬 Multi-step research with citations	**Researcher Agent** (auto-picks)	Need a finished deliverable, not a draft → **Cowork on Opus 4.8**	🔴 Higher
📈 Analyse a data file (CSV, Excel) with charts & insights	**Analyst Agent** (Python sandbox)	Hit session limits or need M365-wide data → **Fabric Copilot**	🟡 Medium
🤖 **BUILDING AGENTS (COPILOT STUDIO)**			
🤖 Build a Teams FAQ or simple agent	**GPT-4.1** (Studio default)	Quality issues or richer answers needed → **Claude Sonnet 4.6**	🟡 Medium
🧩 Build an agent that does complex reasoning	**Claude Sonnet 4.6** (Studio)	Genuinely needs deep logic chains → **Claude Opus 4.6 / 4.8**	🔴 Higher

🟢 GPT-5 family (OpenAI)
The general-purpose default for Copilot Chat. Fast, balanced, well-rounded — Auto-routing covers everyday tasks like summarisation, Q&A, web lookups and light writing. Still a strong override in Excel Agent Mode if Claude isn't producing the result you want. *GPT-5 Instant* is the cheapest tier; *GPT-5 Reasoning* is "Think Deeper".

🟣 Claude family (Anthropic)
Now the default reasoning model for Copilot in Excel and PowerPoint, with Word expected to follow in summer 2026. Strong long-form writing, careful reasoning, and a noticeable edge on structured artefacts like HTML, CSS, JSON, YAML and SharePoint formatting. Sonnet 4.6 is the sweet spot for everyday work; Opus 4.8 for deep reasoning and complex structured output (costs more credits). Requires admin opt-in; off by default in UK/EU.

⚪ Microsoft fine-tuned
Cheaper, surface-specific defaults. *Cowork 1* (coming soon) for routine Cowork tasks. Use these as the default in their product unless you have a reason to override.

💡 **Why does this matter?** Microsoft has shifted Office Agent experiences (Excel and PowerPoint, with Word expected to follow in summer 2026) to use **Anthropic Claude as the default reasoning model from May 2026**, with OpenAI GPT-5 remaining selectable. The standalone Word/Excel/PowerPoint Agents in the M365 Copilot app are **Claude-only**. For structured artefacts (HTML, CSS, JSON, SharePoint formatting) Claude — especially Opus — has a clear edge. For everyday Copilot Chat tasks outside Office apps, GPT-5 with Auto routing remains the default and is plenty.

All prices are US public list pricing as of June 2026 — subject to change. Fabric CU consumption depends on your capacity tier. GitHub Copilot AI credit allocations vary by plan and may change. Contact your IT administrator or Microsoft representative for current licence details and usage reporting.

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